

SAP (SAPG.DE): 2Q26: CCB stronger while EBIT below; FY26 EBIT guidance trimmed to reflect acquisition dilution; Buy

Results

We see scope for slight negative revisions to consensus operating profit forecasts for SAP on the back of the updated FY26 EBIT guidance, which now reflects the dilutive impact of the Dremio and Prior Labs acquisitions that closed in July, as well as modestly softer EBIT growth in the quarter. Having said that, we expect a broadly neutral share price reaction given the relief from the CCB beat.

SAP's 2Q26 results demonstrated continued top-line resilience, with CCB remaining sequentially steady at 26% yoy ex-fx (c.25% yoy ex-fx organic), ahead of GSe and consensus expectations of 25%/24%, driven by continued strength in the Cloud ERP Suite. Management also highlighted momentum across its Autonomous Suite and Business AI Platform, resulting in improved coverage and a stronger pipeline post SAPPHIRE. Total revenues came broadly in line with GSe and consensus expectations, while Non-IFRS EBIT came in below expectations (2%/5% below GSe/consensus), growing 9% yoy ex-fx (vs. GSe/consensus at 10%/14%). The sequential deceleration was driven by lower cloud growth, higher SBC (reversing the unusually low SBC in 1Q), slightly higher investment in R&D and S&M, and the dilutive impact of the Reltio acquisition. FCF, however, came in above expectations at c.€3.0bn (up 27% yoy).

Guidance

More importantly, SAP updated its FY26 operating profit outlook to €11.8-12.2bn (previously €11.9-12.3bn) at constant currencies, implying growth of 13-17% (vs. 14-18% previously). This is broadly in line with GSe at c.15% at the midpoint, while consensus sits slightly above at c.16%, and reflects the dilutive impact of the Dremio and Prior Labs acquisitions that closed in July. SAP reiterated its FY26 guidance on all other metrics. Based on GSe calculations, the midpoint of the FY26 cloud growth guidance implies 2H26 cloud revenue growth of c.22%. Given the CCB strength exhibited in 1H26, we see greater visibility into 2H cloud growth, which we view as broadly de-risked given the unchanged guidance. Management, however, reiterated its expectation of a slight deceleration in CCB through the year, largely on account of macro risks. Overall, we believe the market will continue to weigh the top-line strength against operating profit headwinds and await evidence of AI product traction and monetisation over the coming quarters.

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Further details

Key takeaways from the conference call:

- **SAP reiterated ongoing global macroeconomic uncertainty:** The company noted that the fluid situation in the Middle East continues to weigh on customer decision-making, particularly in directly affected industries and supply chains.
- **CCB growth sequentially accelerated, though management continues to expect a slight deceleration exiting the year:** Current cloud backlog reached almost €23bn (+26% yoy ex-fx). While the underlying trajectory remains intact and the post-SAPPHIRE pipeline is tracking better than expected, management flagged that H2, when the bulk of bookings typically occurs, carries a wider range of outcomes than usual given the volatile backdrop.
- **Cloud revenue growth decelerated sequentially, reflecting tough comparables and the reversal of Q1-specific effects:** Management noted that Q2 2025 benefited from a strong comparable base (roughly two percentage points higher growth than Q1 2025). Despite this sequential deceleration, SaaS and PaaS combined continue to perform strongly and significantly outpace the overall market, with the indirect channel serving as a strong growth pillar.
- **AI and SAP Business Data Cloud were embedded in more than 90% of the 50 largest deals:** SAP detailed its new Business AI platform, emphasising its ability to combine deterministic, mission-critical data with probabilistic agentic AI. The recent acquisitions of Dremio and Prior Labs will enable a semantic data layer and highly accurate tabular predictions. Crucially, management noted that this shift allows SAP to transition towards outcome- and value-based pricing for its autonomous agents, representing a significant future growth lever and supporting healthy gross margins going forward.
- **AI driving significant internal productivity gains:** The company noted that it is seeing productivity gains of up to 30% in R&D through internal AI tool adoption and is reinforcing this by shifting the development backlog from standard SaaS features to agentic AI development. To manage rising token costs, SAP also noted that it is leveraging model-routing technologies to dynamically switch to cheaper, non-frontier LLMs for certain tasks. Consequently, SAP plans to slow hiring over the next 12 months as it balances optimised AI token consumption with headcount optimisation while maintaining its commitment to an c.80-90% expense-to-revenue ratio.
- **FY26 operating profit guidance trimmed to reflect the dilutive impact of recent acquisitions:** The operating profit outlook was lowered to absorb the impact of the Dremio and Prior Labs acquisitions, which are expected to weigh on H2 by c.€100mn. Despite elevated R&D investments and token costs in Q2, SAP expects 2H operating profit growth yoy to be broadly similar to 1H, supported by cost containment and optimised token routing.

Exhibit 1: Actuals vs GS/Consensus

€mn, except per share data. All figures are non-IFRS

2Q FY 26 Results	Actual	GS	% Variance	Consensus	% Variance
Current Cloud Backlog	22,929	21,601	6%	22,110	4%
yoy growth	27.0%	19.7%		22.5%	
yoy growth ex-fx	26.0%	24.8%		24.3%	
yoy growth org ex-fx*	24.7%	23.5%			
License revenues	131	125	5%	136	-3%
yoy growth	-32.5%	-35.7%		-30.1%	
yoy growth ex-fx	-32.0%	-35.0%		-30.1%	
Maintenance	2,439	2,429	0%	2,427	0%
yoy growth	-7.7%	-8.1%		-8.1%	
yoy growth ex-fx*	-7.0%	-7.0%		-7.1%	
Cloud revenues	6,281	6,252	0%	6,245	1%
yoy growth	22.4%	21.9%		21.7%	
yoy growth ex-fx	24.0%	23.2%		23.5%	
	23.8%	1.4%			
Cloud & Software	8,851	8,805	1%	8,806	1%
yoy growth	11.1%	10.5%		10.5%	
yoy growth ex-fx	13.0%	11.8%		12.4%	
Total revenues	9,878	9,894	0%	9,843	0%
yoy growth	9.4%	9.6%		9.0%	
yoy growth ex-fx	11.0%	10.9%		10.8%	
Non-IFRS Cloud Gross Profit	4,687	4,685	0%	4,715	-1%
Non-IFRS Cloud Gross Margin	74.6%	74.9%		75.5%	
Non-IFRS Operating Profit	3,211	3,249	-1%	3,302	-3%
yoy growth	3.7%	4.9%		6.6%	
yoy growth ex-fx**	5.1%	6.3%		8.0%	
Non-IFRS Operating Margin	32.5%	32.8%		33.5%	
SBC	468	460	2%	417	12%
Non-IFRS Operating Profit incl. SBC	2,743	2,789	-2%	2,885	-5%
yoy growth	6.8%	8.6%		12.3%	
yoy growth ex-fx	9.0%	10.0%		13.7%	
Non-IFRS Operating Margin incl. SBC	27.8%	28.2%		29.3%	
Non IFRS PF EPS incl SBC	1.59	1.73	-8%	1.73	-8%
yoy growth	6.9%	16.3%		16.3%	
FCF (company definition)	3,002			2840.84	6%
FCF Conversion (FCF/Non-IFRS Operating Profit incl.SBC)	109%			98%	
yoy growth	27%			21%	

*based on Gse assumption for inorganic contribution

* consensus Non-IFRS operating profit ex-fx % based on GSe FX impact

FY 26 Guidance vs GSe/consensus	Actual	GS	% variance	Consensus	% variance
Cloud revenues (€bn) (ex-fx)	€25.8bn-€26.2bn (unchanged)	26.1	0%	26.0	0%
yoy growth		22.4%		22.1%	
yoy growth ex-fx	23% to 25% (unchanged)	24.0%		23.8%	
Cloud & Software (€bn) (ex-fx)	€36.3bn-€36.8bn (unchanged)	36.5	0%	36.5	0%
yoy growth		10.8%		10.7%	
yoy growth ex-fx	12% to 13% (unchanged)	12.2%		12.5%	
Non-IFRS Operating Profit incl. SBC (€bn) (ex-fx)	€11.8bn-€12.2bn (previously €11.9bn-€12.3bn)	12.0	1%	12.1	0%
Non-IFRS operating Margin incl. SBC		29.2%		29.7%	
yoy growth ex-fx	13% to 17% (previously 14% to 18%)	14.8%		16.1%	
FCF (€bn) (company definition)	c.€10bn (unchanged)	9.7	3%	9.9	1%

**GS/ consensus estimate do not include SBC

Variance at mid point calculated based on ex-fx numbers and fx impact indicated by the company in the guidance

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Price Target Risks and Methodology

We are Buy rated. Our 12m PT of €230 and our ADR PT of US\$265 are based on c.24x 2Q27-1Q28E P/E (including SBC).

Key risks to our view and price target are as follows: (1) macro risks given broad-based exposure across geographies; (2) cloud and subscription risks, such as customer churn during the transition phase, would pose downside risks to our estimates; (3) difficulty in gaining traction in S/4 HANA/cloud and not being able to draw benefits from cross-selling synergies in its installed base could cause headwinds to overall cloud growth and margins; (4) increase in opex spending would result in stronger headwinds to margins, and (5) further management changes.

SAPG.DE	12m Price Target: €230.00	Price: €128.32	Upside: 79.2%
SAP	12m Price Target: \$265.00	Price: \$146.38	Upside: 81.0%

Buy		GS Forecast				
Market cap: €149.7bn / \$170.3bn Enterprise value: €147.9bn / \$168.2bn 3m ADTV: €415.4mn / \$480.6mn Germany Europe Technology M&A Rank: 3 Leases incl. in net debt & EV?: No			12/25	12/26E	12/27E	12/28E
		Revenue (€ mn)	36,800.0	40,329.9	45,446.3	51,528.2
		EBIT (€ mn)	9,830.0	11,369.3	13,480.4	16,303.9
		EPS (€)	6.29	7.01	8.70	10.61
		EV/sales (X)	7.8	3.6	3.0	2.5
		EV/EBITDA (X)	25.6	11.6	9.3	7.2
		P/E (X)	38.6	18.3	14.7	12.1
		FCF yield (%)	2.9	6.7	8.0	9.5
		Org. sales grth (%)	10.1	10.6	12.1	13.4
			3/26	6/26E	9/26E	12/26E
		EPS (€)	1.66	1.66	1.78	1.91

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 23 Jul 2026 close.

Disclosure Appendix

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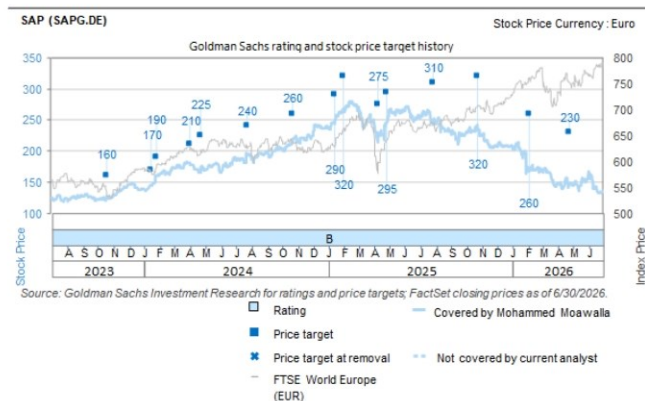
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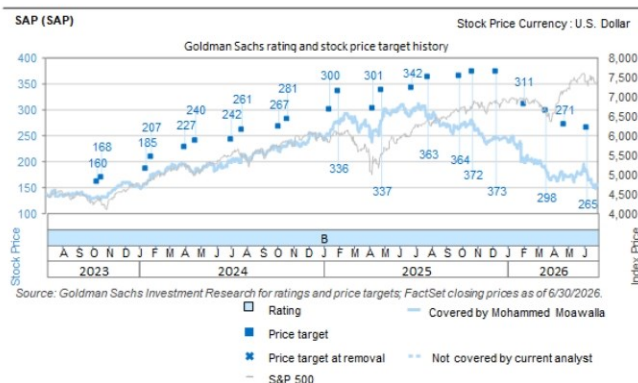
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Target price history table(s)

SAP (SAP)

Date of report	Target price (\$)	Closing price (\$)
10-Jun-26	265.00	170.30
24-Apr-26	271.00	175.26
20-Mar-26	298.00	175.80
03-Feb-26	311.00	197.29
12-Dec-25	373.00	244.83
24-Oct-25	372.00	269.55
29-Sep-25	364.00	263.82
28-Jul-25	363.00	282.38
26-Jun-25	342.00	295.55
28-Apr-25	337.00	285.35
10-Apr-25	301.00	258.49
30-Jan-25	336.00	279.36
13-Jan-25	300.00	249.53
23-Oct-24	281.00	234.59
04-Oct-24	267.00	220.88
24-Jul-24	261.00	209.40
03-Jul-24	242.00	203.02
23-Apr-24	240.00	188.01
02-Apr-24	227.00	192.12
25-Jan-24	207.00	173.44
16-Jan-24	185.00	156.82
19-Oct-23	168.00	133.38
10-Oct-23	160.00	131.20

SAP (SAPG.DE)

Date of report	Target price (€)	Closing price (€)
24-Apr-26	230.00	147.28
03-Feb-26	260.00	167.00
24-Oct-25	320.00	233.35
28-Jul-25	310.00	244.05
28-Apr-25	295.00	248.80
10-Apr-25	275.00	230.00
30-Jan-25	320.00	268.05
13-Jan-25	290.00	243.90
23-Oct-24	260.00	218.65
24-Jul-24	240.00	193.82
23-Apr-24	225.00	174.86
02-Apr-24	210.00	177.06
25-Jan-24	190.00	160.76
16-Jan-24	170.00	144.58
19-Oct-23	160.00	127.28

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